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BUSINESS GUIDE

ERP Helps Growing Biotechnology Companies Manage Complex Business Models

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ERP Helps Growing Biotechnology Companies Manage Complex Business Models

As biotech companies progress from novel ideas to commercialization, they need unified ERP platforms supported by implementation partners that truly understand their operations, challenges, and objectives.

Biotech companies use living organisms to clone genes, make agricultural crops more pest-resistant, treat arthritis and other autoimmune diseases in humans, and much more. Biotech startups are often considered "pre-revenue" because much of their work and spending—some of which comes from outside investors—is funneled into research and development (R&D) to create breakthrough drugs.

The journey from R&D to clinical trials, regulatory approvals, and ultimately to commercialization is usually a long road—an average of 15 years. But because breakthroughs can happen at any time, these firms need to be ready at any point for global expansion, collaboration, and complex financial reporting.

Since they're run by lean teams and rely on outside capital, biotech companies need technology systems to track research data, comply with product traceability requirements, manage procurement and financials, and orchestrate their global supply chains. Many of these organizations start out using basic software like QuickBooks or multiple disconnected software applications, so they miss out on the advantages that an Enterprise Resource Planning (ERP) platform provides.

This business guide delves into the challenges that growing biotechs face as they attempt to run their operations on QuickBooks and highlights the many advantages of combining a cloud ERP with an implementation partner that has deep expertise in the biotech sector.

Solving for the "Now" and Preparing for the Future

The biotech industry is expanding. Bolstered by venture capital (VC), private equity (PE), and initial public offerings (IPOs) fueling both R&D and expansion, this industry is expected to reach $1.7 trillion by 2030, with a compound annual growth rate (CAGR) of 8.7%.[1] The majority of firms operating in this sector are in North America.

As they journey from product pilot to FDA approval, biotech companies reach milestones that call for better controls and more automation.

Before long, those firms realize that their basic systems no longer support their growing operations. Roxanne Brady, National Leader Digital Solutions at Connor Group, a NetSuite Alliance Partner, said the tipping point usually comes when the company needs to put more controls in place or has recently become, or wants to go, public. Functions like journal entry processing, basic controls, expense tracking by project, and general budget management become more important, but can't be handled by QuickBooks or Bill.com.

Biotechs also need to track the time, resources, and money allocated to specific programs or projects. Many have collaboration agreements in place with pharmacies, universities, and even other biotech organizations and want to be able to invoice based on those parameters.

Going Public

IPOs are the lifeblood of the biotech industry. They help growing companies access the capital needed to get their products through the clinical development phase and commercialized for sale. In 2021 alone, more than 100 biotech firms went public and raised about $15 billion.[2]

> "Slicing and dicing that data isn't easy when you're using QuickBooks. With NetSuite, [biotechs] can readily view the whole project lifecycle, track the time and resources allocated to each phase, and then bill accordingly."
>
> Roxanne Brady, National Leader Digital Solutions, Connor Group

In most cases, the biotechs that Connor Group works with have their sights set on an IPO or another major financial transaction within the next six to nine months. Roughly half have already been through some type of financial audit and are looking to get their statements ready to potentially become public entities.

As an accounting consulting firm that is also a software integrator, Connor Group helps biotechs get their financial ducks in a row—a difficult task given the many types of financial support these firms have received along the way. Most have raised substantial amounts of capital through debt or equity, for example, and some have used collaboration arrangements with pharmaceutical firms, universities, and/or other biotechs.

Many survived on basic financial solutions during their early years, but when an IPO comes into focus, CFOs realize that they need a more robust, unified platform to run their growing operations.

"Some of these companies are still printing out every single journal entry, getting someone to sign off on them, and then putting those entries in a binder for the auditors to review," said Joanna Lynch, a Connor Group partner. "In NetSuite, they can manage that process right in the platform and use automation to create an accurate, reliable audit trail."

[1] https://info.siteselectiongroup.com/blog/biotech-sector-continues-strong-growth-into-2022
[2] https://www.biopharmadive.com/news/biotech-ipo-performance-tracker/587604/

Surviving Audits and Meeting SEC Requirements

For biotechs that are preparing for an IPO or other major financial event, Connor Group reviews and advises both on the company's historical and future financial operations. Initially, most biotechs are focused on the former, with an emphasis on getting through required audits and meeting Securities and Exchange Commission (SEC) requirements.

Then the emphasis becomes improving processes like month- or quarter-end closes, their ability to analyze and forecast financials, and how they plan to operate as a public company.

"Biotechs need to be able to report financial results in an accurate and timely fashion," said Lynch. "Even if they're not going to jump in and do everything themselves, they still have to know how to close on time on a quarterly basis, which many of them have never done before."

For instance, most biotechs track how much they spend on clinical trials monthly or quarterly. They also need to know how many patients participated in those trials and which outside vendors were involved in the process. Using NetSuite, companies can gather planned and actual spend and other information quickly to close out their books in a timely manner.

In most cases, Connor Group's clients use NetSuite Financials First, which generally takes under 100 days to implement. Biotechs that use outside applications, like Bill.com or an employee expense reporting tool, can usually have them integrated into NetSuite.

"Because they don't have extensive trade accounts receivable, revenue recognition, or inventory tracking requirements, biotechs can usually get up and running on NetSuite pretty quickly focusing on procurement and financial reporting," said Brady.

> "The NetSuite platform allows companies to automate not only by expanding ERP functionality, but by connecting to other cloud services. Instead of duplicative data entry, the accounting and finance team can focus on analysis and improved management reporting." Roxanne Brady, National Leader Digital Solutions, Connor Group

Once in place, NetSuite immediately improves the biotech company's reporting and controls processes. It also enables approval workflows on key transactions, including purchasing and journal entry approvals. For example, a public company that's issuing Form 10-K reports or a first time filer on the SEC Form S-1, which is for companies that want to be listed on the national exchange, can easily generate these otherwise-complex reports.

As biotechs commercialize their products, manage inventory, and expand into the global marketplace, NetSuite will scale up right along with them.

"Biotechs don't have to turn on everything in NetSuite on Day 1," said Brady. "We can add functionality as the company progresses."

For example, an organization that's expanding globally and adding subsidiaries outside of the United States can use NetSuite OneWorld to manage its global business in real time. OneWorld handles multiple currencies, complex consolidations, and not only SEC reporting, but local statutory needs too.

More Automation, Please

Biotechs face complexities and challenges on many fronts, not the least of which is an ongoing labor shortage. While meeting auditor requirements, preparing to go public, and solving some of the world's biggest problems are top of mind, these growing companies also have to fill empty seats with qualified workers at a time when those resources are in short supply.

For help, more biotech companies are turning to automation and technology that can run select aspects of their operations. Many are finding what they're looking for in the NetSuite platform by adding manufacturing, inventory management, order management, and other core functions.

"Many of our biotech clients leverage outside manufacturing firms," said Brady. "The inventory may never physically be located on their site, but they still need to account for it. NetSuite allows them to record the raw material purchase all the way through sales."

With NetSuite Planning and Budgeting, they can automate labor-intensive planning and budgeting processes, quickly and easily produce budgets and forecasts, model what-if scenarios, and generate reports from a single platform.

Because NetSuite's ERP automates a wide range of repetitive tasks, biotechs can allocate their valuable labor resources to the tasks only they can do.

For any biotech that's moving out of the startup phase and working toward clinical trials, regulatory approval, an IPO, or another major event, the combination of the NetSuite platform with Connor Group's extensive accounting and automation experience in the biotech industry will help pave the path.

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